

**BEFORE THE
FEDERAL MARITIME COMMISSION**

S.P.F. LOGISTICS, INC.,

Complainant,

v.

HAPAG-LLOYD AG,

Respondent.

DOCKET NO. 24-24

**RESPONDENT’S REPLY TO COMPLAINANT’S
SUPPLEMENTAL OPPOSITION BRIEF**

Respondent Hapag-Lloyd AG (“Respondent”) hereby replies to S.P.F. Logistics, Inc.’s (“Complainant”) Supplemental Opposition brief (“Supplemental Opposition”).

The Supplemental Opposition advances a variety of arguments that misunderstand or mischaracterize Respondent’s position or which involve precedent which pre-dates or is otherwise irrelevant to the issue in this proceeding.

I. The Supplemental Opposition’s Reliance On Precedent Is Misplaced

The precedent cited by Complainant’s Supplemental Opposition does not support its position.

The Supplemental Opposition cites three separate cases for the proposition that the assessment of detention on empty containers that were delivered on merchant haulage terms fall within the Commission’s jurisdiction. One of the flaws in Complainant’s reliance on these cases is that all three decisions pre-date the Commission’s February 26, 2024 statement that the FMC’s

jurisdiction and its demurrage/detention billing rules, “apply only to cargo moved inland under a through bill of lading...”. 89 *Fed. Reg.* at 14336 (February 26, 2024). The Commission also stated that “A motor carrier not based on a through bill of lading would likely be outside the scope of this rule.” *Id.* The Presiding Officer should follow the Commission’s most recent statement concerning the scope of its jurisdiction, which was made in the context of its rulemaking on the billing of demurrage/detention.

Each of the three cases cited by Complainant can also be distinguished from this proceeding. In *Hapag-Lloyd A.G. and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. §41102(c)*, 4 FMC 2d 53 (ALJ 2022), the issue of jurisdiction was not raised and was not addressed. The fact that jurisdiction was apparently exercised in that case to approve the settlement does not necessarily mean jurisdiction exists in this proceeding. That is particularly true since it is not clear from the findings of Fact in the ALJ’s decision in that case whether the containers at issue were moving under carrier haulage or merchant haulage terms. Given the importance placed on that distinction by the Commission in the rulemaking quoted above, and the failure of the previous decision to address that distinction, the decision cannot be considered instructive with respect to the existence of jurisdiction in this proceeding.

The initial decision in *TCW, Inc. v. Hapag-Lloyd AG*, FMC Docket No. 1992(I) (December 5, 2023) dealt with the reasonableness of a street turn fee. In that case, the decision notes that the fee was assessed in connection with the transportation of cargo from the U.S. to a foreign destination. More specifically:

Thus, abundant evidence establishes that the street turn payment was made in connection with the transportation of cargo by ocean from the United States to a foreign destination. Because the street turn fee at issue was assessed on a container being utilized for the transportation of cargo by ocean between a port in the United States to a foreign destination, it is a charge that was assessed in connection with

the transportation of cargo in the foreign commerce of the United States and thus subject to the Shipping Act and the Commission's jurisdiction.

Initial Decision at 13 (emphasis added). Here, the containers in question were not being used for the transportation of cargo in the foreign commerce of the United States, but were merely being returned empty to a domestic location. Accordingly, the *TCW* decision does not support a finding of jurisdiction here.

Finally, *Intermodal Motor Carriers Conference, American Trucking Ass'n Inc. v. OCEMA, et al.*, FMC Docket No. 20-14 (FMC Feb. 13, 2024) ("*IMCC*") is also distinguishable. In that case, the issue was the extent of Commission's jurisdiction over certain ocean carrier practices relating to the provision and use of chassis. The Respondents in that case, not just Hapag-Lloyd, argued that Commission lacked jurisdiction over the provision of chassis in connection with an inland move on merchant haulage terms. The Commission, apparently not comprehending fully the basis of Respondents' arguments, held that its jurisdiction extends beyond the port boundary. While it is certainly true that the Commission's jurisdiction extends beyond port boundaries in certain instances, there is a distinction between the furnishing of chassis (which are necessary for delivering loaded import containers) and the return of empty containers. Moreover, as explained further below, Respondent's arguments in this proceeding are not based on geography, but on contractual relationships and common law obligations that define when Respondent is and is not acting as a regulated entity.

In light of the distinctions between this proceeding and those cases cited by Complainant, as well as the Commission's most recent statement of the scope of its jurisdiction, Respondent's motion should be granted.

II. The Supplemental Opposition Misunderstands Or Mischaracterizes Respondent's Arguments

A. The "Port Boundary" Argument Is A Red Herring

As noted above, Complainant's attempt to characterize Respondent's jurisdictional argument as being based on the "port boundary" is a mischaracterization of that argument.

Here, Respondent contracted with its customer to deliver cargo to a destination port facility. As explained in earlier briefs, the Commission and the courts have recognized that Respondent's common carrier obligation to deliver the cargo was fulfilled when the cargo was placed on a safe pier and the consignee was afforded a reasonable opportunity to pick up the cargo. There is no dispute that this was done. Hence, delivery was completed and Respondent's obligations with respect to the cargo under the contract of carriage were completed. At that point, the contract of carriage was completed and Respondent was no longer acting as a common carrier.

Complainant was hired, directed, and paid by the cargo interest. There was no contract for transportation of the cargo between Complainant and Respondent. The only relationship between Complainant and Respondent with respect to the containers herein at issue is that Respondent allowed Complainant to use Respondent's containers to fulfill Complainant's contractual obligation to its customer to move the cargo from the port to its final destination.

It is the completion of the contract of ocean carriage and the lack of any contract for inland transport between Respondent and Complainant that deprives the Commission of jurisdiction over this claim rather than any "port boundary." Saying the Commission's jurisdiction does not end at the port boundary may be a true statement, but it is not a legally meaningful test for determining jurisdiction in that it does not deal with the issue of whether Respondent was acting as a regulated ocean common carrier with respect to the conduct herein at issue. For the reasons set forth above and in earlier briefs, Respondent was not.

B. Complainant's Alleged "Factual Link" Does Not Exist

Complainant's argument that there are factual links between Respondent's regulated status and the conduct at issue is flawed.

Complainant characterizes Respondent's position as drawing an arbitrary line in the sand at the port terminal. This is a gross mischaracterization of Complainant's argument. As set forth above, the argument that the Commission lacks jurisdiction has nothing to do with the physical location of the activity, but is based solely on the legal relationships among the parties at that point in time. Given those relationships, Complainant's argument that return of the container is part of the transportation process and therefore subject to Commission jurisdiction is logically flawed.

Under Complainant's theory, anything that a carrier does would be subject to Commission jurisdiction if it relates to the transportation of cargo. Yet, except in rare instances not present here, the Commission has no jurisdiction over a carrier leasing office space, contracting for the purchase of fuel, contracting for the acquisition of a ship or containers, flagging vessels, borrowing money, paying taxes, or any other numerous activities that are critical parts of the transportation process. The analysis is not as narrow as whether the activity has something to do with transportation, but must also include the issue of whether Respondent is acting in its capacity as a regulated common carrier when it engages in the activity. For the reasons set forth above, Respondent was not acting as a regulated ocean common carrier with respect to the return of empty containers moved under merchant haulage.

Finally, Respondent is not the one who drew a line between merchant haulage and carrier haulage – the Commission made that distinction in defining its jurisdiction in the rulemaking on the billing of demurrage and detention.

C. The Rulemaking Supports Respondent's Position

Complainant's argument that the Commission's rulemaking supports a finding of jurisdiction is flawed – the rulemaking actually supports Respondent's position.

Complainant argues that the Commission has jurisdiction in this proceeding because its rulemaking implies that it would be unlawful to bill a motor carrier. The problem with this argument is that it conveniently ignores the express statement of the Commission that it lacks jurisdiction over motor carrier relationships not involving a through bill of lading, the precise situation herein at issue.

The express language of the rulemaking supports Respondent's position, not Complainant's.

D. Complainant's UIIA Argument Is Misdirected

Complainant argues that the Commission has jurisdiction over the UIIA and thus the existence of the UIIA does not deprive the agency of jurisdiction in this proceeding. Complainant's argument is misdirected.

Respondent is not arguing in this proceeding that the UIIA deprives the Commission of jurisdiction or insulates Respondent from Shipping Act claims.¹ Respondent merely cites the scope of the UIIA as evidence that Respondent was not acting as a regulated ocean common carrier in its relationship with Complainant. As previously noted, Complainant was not hired through or paid through the UIIA, which is not a contract between Complainant and Respondent for the transport of the container. Rather, the UIIA is an agreement which sets forth the terms on which Complainant was permitted to use Respondent's equipment for purposes of performing a

¹ The Commission has asserted that it has jurisdiction over the UIIA. That assertion has not been addressed by a court of competent jurisdiction. Respondent's arguments with respect to the UIIA are made without prejudice to any future position it may take on the scope of FMC jurisdiction over some or all of the UIIA.

service pursuant to an arrangement between Complainant and Complainant's customer.

Accordingly, in the context of this proceeding, Respondent's actions under the UIIA are those of a bailor of the container rather than those of an ocean common carrier.

III. Conclusion

For the reasons set forth above and in previously submitted pleadings, summary judgment should be granted to Respondent on the grounds that the Commission lacks jurisdiction over the Complaint.

Respectfully submitted,

A handwritten signature in black ink, appearing to read "Wayne R. Rohde".

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Dated: February 24, 2025

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 24th day of February, 2025, the foregoing Respondents'

Reply was served via electronic mail on:

Stephen M. Uthoff
suthoff@uthofflaw.com

A handwritten signature in black ink, appearing to read "Wayne Rohde", written in a cursive style.

Wayne Rohde